lowered quite significantly over the years, the tax base has not increased correspondingly.

On the basis of the Wanchoo Committee's recommendation, the highest marginal rate of individual income tax was reduced from 97.75 per cent to 77 per cent in 1974–75 and to 66 per cent in 1976–77 and then increased to 69 per cent in 1977–78 and further to 72 per cent in 1979–80. But it was again reduced to 66 per cent in 1980–81 and further to 50 per cent in 1985–86. In 1992–93, the highest marginal tax rate was further reduced to 40 per cent and in 1997–98 to 30 per cent, which is the current rate. Of course, successive governments have added various cesses and surcharges making the effective tax rate higher (for instance in 2017–18, the effective rate is 35.54 per cent).

Individual tax rates in India are presently lower than tax rates in several developed countries, but are slightly higher than taxes in most emerging markets. A report by Kotak Institutional Equities in January 2017 suggested, 'The general disgruntlement among Indian tax payers (the ones with salaries in the organized sector) despite the relatively low individual tax rates in India versus other countries can be ascribed to two reasons: (1) Poor quality of public services (such as education, healthcare, infrastructure such as electricity, roads and water and sewage) provided by governments (Central, state and local) and (2) large evasion of taxes by huge sections of the population in the informal economy, which puts the entire burden of public services on the narrow base of law-abiding tax payers.'

Successive governments have introduced Voluntary Disclosure Schemes to encourage more honest tax compliance, but with poor overall results.

There have been 10 Voluntary Disclosure Schemes between 1951–2017, as shown in the table below.

Table 12: Voluntary Disclosure Schemes Since 1951